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How to Use Walk Forward May Be Doing It



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What Is Walk Forward

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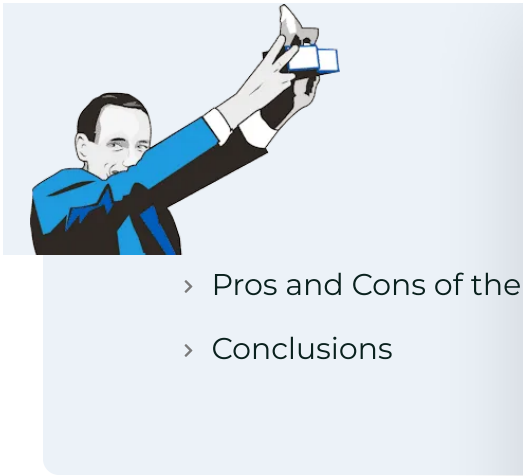
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Walk Forward Analysis (WFA) is used by many traders, especially among novice traders. WFA is a simple and effective trading system and unfortunately, it is not perfect.

In this article, we will see how WFA works and how to use it correctly. In addition, we will see how the WFA procedure does not fit the U.S. market.

What Is Walk Forward Analysis?

Walk Forward Analysis begins by finding the **optimal parameters** over a period of time, then verifying the performance of these parameters on a new period called **“out-of-sample”**.

The objective of the WFA is to **maintain its *in-sample* performance** over time.

To give you an example, imagine a trader who is training a model. During training, the model finds the optimal parameters, such as speed, etc.

Thanks to the performance of the model, the trader can increase the athlete’s level of readiness for future results.

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How Walk Forward Analysis

WFA is used to evaluate the

To do this, the optimization interval and, subsequently, the test interval, that is, in the interval following

Each pair formed by the optimization and test verification represents the so-called WFTs up to the most recent WFT. WFA Analysis.

In practice, Walk Forward Analysis consists of the following steps:

- Collect essential data in a given period of time
- Divide the time interval into two parts: optimization and test
- Perform the first *in-sample* optimization to find the best parameters
- Test these parameters on the out-of-sample data
- Repeat the operation (optimization and verification) until you get the desired results

There is software that allows you to perform WFA: **drawdown, average trade**

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Types of Walk Forward

There are two types of WFA:

- **“Anchored”**: The *in-sample* period is fixed, and the *out-of-sample* period is the historical data set.
- **“Rolling”**: The *in-sample* period is fixed, and the *out-of-sample* period starts after the *in-sample* period.

Generally, for those who use the *in-sample* period to have a fairly significant number of observations, on the other hand, the *out-of-sample* period is small.

Furthermore, the latter method is more likely to be what worked most in the last period of history.

In both cases, it is important to have a period that is accurate enough to predict the future, but not too large to be a good predictor.

WFA and the Efficiency Criterion

The main criterion used in the WFA system is an **efficiency criterion**.



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than 50-60%. When the WFA

In addition to profit, it is important to consider the *out-of-sample* tests also

The Risk of Overfitting

Overfitting is, literally, the “**data**”, and represents one especially at the beginning.

Many traders tend to optimize the [risk, as we explain here](#) of adapting very well to the p

In the case of the WFA, on results of optimization are co

Pros and Cons of the

One of the greatest advantages of systems thanks to data collection however, is that this generally

Another aspect to consider is that all are based on the use of optim

The problem is that **not** all strategies open and close p



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are extremely effective at improving performance, but are not suitable for this kind of operation.

To find out more, we recommend you read the link below, which explains this in further detail.

Trading Systems Course
Unger Academy USA



Conclusions

Walk Forward Analysis is a powerful tool for assessing the effectiveness of a trading system over a range of market conditions and performances.

From a theoretical point of view, the performance of a trading system over a long period of time, certain parameters will be more important than others. In the next time window, we will discuss these parameters in more detail.

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In addition, the danger of ... also be considered.

Finally, it is essential to reit ... never gives any certainty abo ... are not as predictable. Our ... procedure is suitable for you

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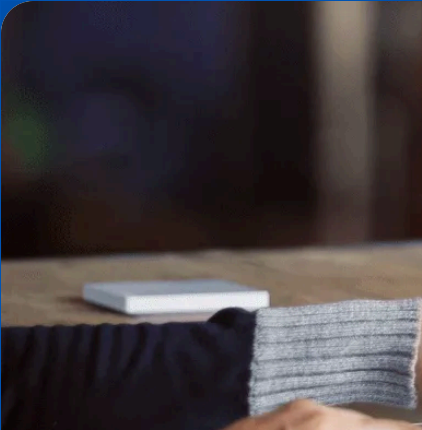




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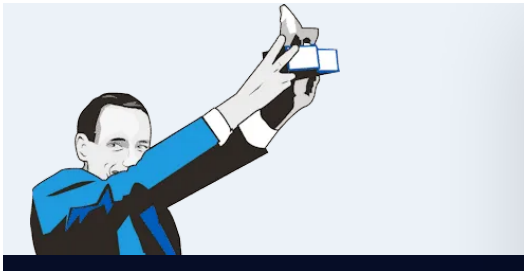
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